
ECONOMICS

Paper 4 A Level Data Response and Essays

Practice Paper 2026

2 hours

(Advanced Level)

You must answer on the enclosed answer booklet.

You will need: Answer booklet (enclosed)

INSTRUCTIONS

- Answer **three** questions in total:
 - Section A: answer Question 1.
 - Section B: answer **one** question.
 - Section C: answer **one** question.
- Follow the instructions on the front cover of the answer booklet. If you need additional answer paper, ask the invigilator for a continuation booklet.
- You may use a calculator.
- You may answer with reference to any economy you have studied where relevant to the question.

INFORMATION

- The total mark for this paper is 60.
- The number of marks for each question or part question is shown in brackets [].

Section A

Answer all parts of Question 1.

1 The Renewable Energy Transition in Germany

Germany has pursued one of the world's most ambitious clean-energy transitions, known as the *Energiewende*. Between 2000 and 2023, the share of electricity generated from renewable sources rose from 6.3% to 52%. Over the same period, electricity generated from coal fell from 53% to 26%, while nuclear power was phased out completely by April 2023.

The transition has been driven by government policy. The Renewable Energy Sources Act (EEG) guaranteed renewable producers a fixed price (a "feed-in tariff") for every kilowatt-hour fed into the grid, often above the wholesale market price. The difference between this guaranteed price and the wholesale price was financed through a surcharge on household electricity bills. By 2022, German households paid an average retail electricity price of €0.43 per kWh, the highest in the European Union and roughly twice the EU average.

The German solar panel manufacturing industry, which once dominated global production, declined sharply after 2011 as low-cost Chinese imports captured the market. By 2023, around 95% of the solar panels installed in Germany were imported. By contrast, the wind turbine manufacturing sector remains dominated by three large firms — Vestas, Siemens Gamesa, and Nordex — which together account for over 80% of European new installations. Domestic electricity supply to households is provided by approximately 1300 regional distribution companies, the four largest of which control around 40% of the retail market.

The transition has delivered measurable environmental benefits. CO₂ emissions from electricity generation fell by 46% between 2000 and 2023. However, critics point out that the cost of electricity has reduced the international competitiveness of energy-intensive German industries, some of which have relocated production to neighbouring countries. Real GDP growth has averaged only 1.1% per year over the past decade, compared with 1.6% for the EU as a whole. Approximately 380000 jobs are now supported directly or indirectly by the renewable energy sector, compared with 20000 jobs in lignite (brown coal) mining.

Table 1.1: Germany — selected energy and economic indicators

Indicator	2000	2012	2023
Renewable share of electricity (%)	6.3	23.5	52.0
Coal share of electricity (%)	53	44	26
Retail electricity price (€ per kWh)	0.14	0.26	0.43
CO ₂ emissions from power (Mt)	375	320	203
Renewable-sector employment (000s)	160	378	380
Real GDP growth (annual %, avg)	1.9	1.4	0.3

Sources: Federal Statistical Office of Germany (Destatis), 2024; Fraunhofer ISE Energy-Charts, 2024; Eurostat, 2024

- (a) Explain the significance of a consumer price index (CPI) for measuring changes in the cost of living. [3]
- (b) Explain one possible benefit of a government subsidy and one possible drawback of a government subsidy. [4]
- (c) Describe how the market structure of wind turbine manufacturing is likely to differ from the market structure of regional electricity supply to households. [6]

(d) Use the article to evaluate the impact of the renewable energy transition on economic welfare in Germany. **[7]**

Section B

Answer one question.

EITHER

- 2** Many airlines charge different prices to different passengers for travelling on the same flight.

Evaluate, with the help of diagram(s), the use of price discrimination by firms as a means of increasing profit. **[20]**

OR

- 3** An economist argues: "It is the threat of entry, rather than the actual number of firms, that determines a market's performance."

Assess whether the theory of contestable markets is more useful than traditional models of market structure in explaining firms' behaviour. **[20]**

Section C

Answer one question.

EITHER

4 Evaluate the effectiveness of monetary policy as the principal means by which a central bank can control the rate of inflation. **[20]**

OR

5 Evaluate the view that free international trade is always beneficial for low-income developing countries. **[20]**